

Legrand

CMD 2026 First Take - Organic growth and margin targets above consensus underwriting investment case

Our Take: Legrand is hosting its Capital Markets Day today at Tech Week Singapore/Data Center World. As ever, the sell side was generally optimistic going into the event while the buy-side bar on financial guidance was low at c.6% OSG (in line with consensus) versus the prior guidance of c5%, with little expected. Hence, today's OSG target of 6-8% and a margin upgrade to the 21-22% level (previously c20-21%) with a reference to 'selective share buybacks', is a clear positive for the shares and the investment case. We are also pleased to see some focus on pruning the portfolio too. We expect the company to do a solid job of addressing the relative competitive positioning in the data center space during the CMD, but the important piece is that the financial guidance now backs up the narrative.

- **The Event:** Legrand is hosting its Capital Markets Day in Singapore. The event includes a presentation of the Group's roadmap and upgraded 2030 ambitions, with a specific focus on its data center strategy and technology offering. The event can be followed [here](#) from 4am UKT/12pm SGT.
- **Upgraded Targets:** Legrand has upgraded some of its 2030 ambitions, targeting over 2027-30: **1) Organic sales CAGR** of +6-8%, complemented by an annual scope contributions from acquisitions of ~5% and divestments impact over the period of €0.5 to €1 billion. **2) Adjusted operating margin** of 21-22% on average, post acquisitions and restructuring expenses; **3) FCF to sales** of 13-15% on average with cash conversion >100%; and **4) Leverage ratio** of 1.5-2.5x net debt to EBITDA (new target). **5) On capital allocation**, Legrand targets a greater allocation to M&A with ~60% of FCF aimed for acquisitions on average (vs. previous target of at least 50%), a ~50% dividend payout (unchanged), and selective share buybacks.
- **Strategic roadmap:** CEO Benoît Coquart will lay out the Group's strategic roadmap to 2030, around three areas: Data centers (32% of 1H26 sales), Electrification (22% of sales) and Essential infrastructures for buildings (46% of sales). The strategic plan is based on a large addressable market and strong leadership position, with demand supported by digitalisation, the rapid expansion of AI-driven data centers, electrification, and structural needs in buildings. Management says execution will rely on innovation, customer experience, pricing actions, and selective acquisitions.
- **Data centers:** Legrand expects its data centers business to exceed €3bn in sales in 2026 and says it has strengthened its position, supported by organic growth, targeted acquisitions, and a comprehensive offering. In the CMD, the company plans to address how AI workloads are changing data center requirements - rising rack densities, faster time-to-operations, and new power architectures - and outline its perspective on a transition toward Low Voltage Direct Current (LVDC) architectures.
- **Valuation:** As of COB September 28, 2026, the stock trades on 16.7x/14.4x 2026E/2027E EV/EBITA and 21.7x/19.0x 2026E/2027E Adj. P/E.

New vs. Old Targets:

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 6 for analyst certification and important disclosures, including non-US analyst disclosures.

Overweight

LEGD.PA, LR FP
Price (28 Sep 26):€134.85
Price Target (Dec-27):€200.00

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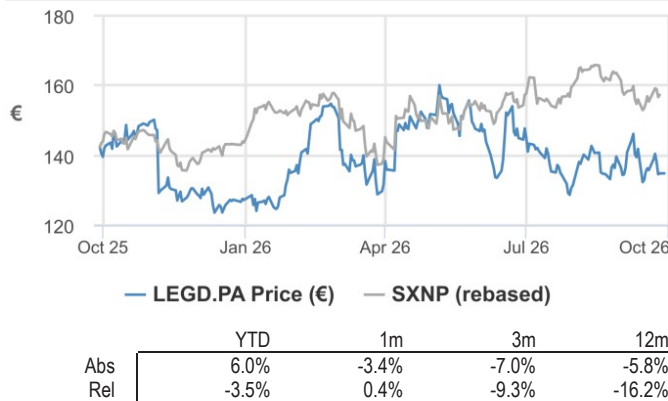
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Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	89	85	81	83	73
Growth	55	37	61	33	
Momentum	12	68	27	34	34
Quality	44	57	53	57	56
Low Vol	49	61	33	14	4
ESGQ	35	40	14	36	58

Price Performance



Company Data

Shares O/S (mn)	267
52-week range (€)	166.95-121.95
Market cap (\$ mn)	40,984.59
Exchange rate	0.88
Free float (%)	99.7%
3M ADV (mn)	0.54
3M ADV (\$ mn)	84.6
Volatility (90 Day)	31
Index	SXNP Index
BBG ANR (Buy Hold Sell)	14 4 2

Key Metrics (FYE Dec)

€ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	9,481	11,031	12,105	13,061
Adj. EBITDA	2,224	2,692	3,036	3,336
Adj. EBIT	1,962	2,373	2,673	2,945
Adj. net income	1,358	1,629	1,862	2,080
Adj. EPS	5.10	6.11	6.99	7.81
BBG EPS	5.10	5.89	6.71	7.37
Cashflow from operations	1,529	1,976	2,107	2,376
FCFF	1,328	1,810	1,829	2,073
Margins and Growth				
Revenue Growth Y/Y (%)	9.6%	16.4%	9.7%	7.9%
EBITDA margin	23.5%	24.4%	25.1%	25.5%
EBITDA Growth Y/Y (%)	9.7%	21.0%	12.8%	9.9%
EBIT margin	20.7%	21.5%	22.1%	22.5%
Net margin	14.3%	14.8%	15.4%	15.9%
Adj. EPS growth	6.3%	20.0%	14.3%	11.7%
Ratios				
Adj. tax rate	25.9%	26.7%	26.0%	26.0%
Interest cover	24.1	18.7	19.6	25.2
Net debt/Equity	0.6	0.5	0.4	0.2
Net debt/EBITDA	1.9	1.6	1.1	0.6
ROCE	11.0%	11.6%	12.0%	12.4%
ROE	18.3%	20.9%	21.2%	21.2%
Valuation				
FCFF yield	3.7%	5.0%	5.1%	5.8%
Dividend yield	1.8%	2.1%	2.4%	2.7%
EV/Revenue	4.1	3.5	3.1	2.8
EV/EBITDA	17.4	14.5	12.5	11.0
Adj. P/E	26.5	22.1	19.3	17.3

Summary Investment Thesis and Valuation

Investment Thesis

We believe Legrand is a high-quality franchise offering many favourable, long-term characteristics, including a strong execution track record, access to attractive low voltage profit pools and demonstrable pricing power, all underpinned by a relentlessly applied operating model. We believe datacenters will be the single most attractive end market in our coverage in the coming years. Legrand, at 30% is now higher than Schneider. Given Legrand's market position, we do not believe the market is fully reflecting the likely contribution from DC to Legrand's growth profile, and see incremental upside in the event of a European resi recovery and/or US core office. The stock looks attractively valued in absolute terms, albeit towards the higher end of recent historical averages. Importantly, however, the growth outlook in the years ahead is potentially materially different to that of the prior five years, which in our view justifies the current levels.

Valuation

Our December 2027 Price Target is based on a reverse DCF valuation. The 12-month forward target multiple is 18.5x EV/adj. EBITA, applied to our 2027 forecasts. The multiple takes growth, margin, cost of capital and asset intensity into account.

Performance Drivers

Market	30%
Sector	21%
Macro	2%
Style	5%
Idiosyn.	41%

Factors	6M Corr	1Y Corr
Market: MSCI Europe ex UK	0.60	0.55
Sect: Industrials	0.63	0.52
Ind: Capital Goods	0.67	0.58
Macro:		
Citi Eco Surprise Eurozone	-0.11	-0.14
Markit Eurozone Comp PMI	-0.21	-0.13
Germany Govt 10Y Yield	-0.10	-0.08
Quant Styles:		
Size	0.40	0.25
Momentum	0.10	0.14
Growth	0.09	0.06

Figure 1: 2026 CMD targets for 2027-30

Targets	2026 CMD (2027-30)	Old targets - updated at FY25	2024 CMD (2025-30)	BBG cons (2027-30)
Sales growth (ex-FX)	+9-12% CAGR (est.*)	Close to +10% p.a.	+6-10% CAGR	
Organic sales growth	+6-8% CAGR		+3-5% CAGR	+6% p.a.
Scope	Acquisitions: ~+5% CAGR Divestments (est.*): ~+1-2% CAGR		+3-5% CAGR	
Adj. EBITA Margin	21-22%**	20-21%	~20% avg	21.4% (avg)
FCF as % of sales	13-15%		13-15% avg	13.3% (2027-29 avg)
Leverage ratio	1.5-2.5x			
Capital allocation	~60% of avg FCF for acquisitions ~50% dividend payout + selective SBBs		~at least 50% of avg FCF for acquisitions ~50% dividend payout	

Notes: *Estimated annual scope effect from divestments based on the ~€0.5-1bn target of sales over 2027-30. **Post acquisitions and restructuring expenses. ***BBG total sales growth: +8% 2027-30 CAGR
Source: Company reports, Bloomberg Finance L.P.

Investment Thesis, Valuation and Risks

Legrand (*Overweight; Price Target: €200.00*)

Investment Thesis

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Risks to Rating and Price Target

- **Datacenter market growth slows** versus high expectations, dragging on Legrand's growth potential, or remains lumpy as we saw in H1'24.
- **European resi remains weak** for longer than expected, although after such a protracted downturn, we see more upside than downside from current levels.
- **M&A pipeline slows**, dragging on the overall group growth profile, although we do not believe consensus models the consistent M&A roll-up story so this is likely immaterial.

Legrand: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	8,649	9,481	11,031	12,105	13,061	Net Profit for the cash flow	1,166	1,245	1,498	1,729	1,936
% Change Y/Y	2.8%	9.6%	16.4%	9.7%	7.9%	Depreciation & amortization	385	415	496	545	588
Operating Profit (Co. defined)	1,776	1,962	2,373	2,673	2,945	Changes in working capital	(75)	(139)	(22)	(166)	(148)
						Capex	(210)	(221)	(209)	(303)	(327)
Net Interest	(51)	(92)	(144)	(155)	(132)	PPE Disposals	-	-	-	-	-
Pre-tax Profit	1,578	1,691	2,049	2,336	2,616	FCF (JPMe)	1,284	1,328	1,810	1,829	2,073
Tax	(409)	(439)	(547)	(607)	(680)						
Tax Rate	25.9%	25.9%	26.7%	26.0%	26.0%	Acquisitions	(1,531)	(1,341)	(982)	0	0
Minorities	(3)	(8)	(3)	0	0	Divestures	-	-	-	-	-
Net Income Attributable to Shareholders	1,166	1,245	1,498	1,729	1,936	Dividends	(547)	(576)	(623)	(749)	(864)
						Purchase / Sale of shares	-	-	-	-	-
EPS (Co. defined)	4.79	5.10	6.11	6.99	7.81	Change in Net Debt	(796)	(672)	185	1,055	1,185
% Change Y/Y	0.0%	6.3%	20.0%	14.3%	11.7%						
DPS	2.20	2.38	2.86	3.30	3.69	Ratio Analysis					
% Change Y/Y	5.3%	8.2%	20.1%	15.4%	12.0%		FY24A	FY25A	FY26E	FY27E	FY28E
Balance Sheet						Gross margin	51.6%	50.8%	50.7%	51.0%	51.0%
Cash and cash equivalents	2,081	2,381	3,295	4,374	5,583	Adj. EBITDA margin (co. defined)	23.4%	23.5%	24.4%	25.1%	25.5%
Accounts receivable	1,051	1,227	1,434	1,574	1,698	Operating Profit margin (co. defined)	20.5%	20.7%	21.5%	22.1%	22.5%
Inventories	1,321	1,467	1,489	1,634	1,763	Net profit margin	14.6%	14.3%	14.8%	15.4%	15.9%
Other current assets	2,880	3,188	3,462	3,747	4,000						
Current assets	4,961	5,569	6,757	8,121	9,583	ROE	17.7%	18.3%	20.9%	21.2%	21.2%
PP&E	914	971	981	1,006	1,032	ROA	8.2%	8.1%	8.6%	9.0%	9.5%
LT investments	-	-	-	-	-	ROCE	10.9%	11.0%	11.6%	12.0%	12.4%
Other non current assets	659	836	866	854	842						
Total assets	16,075	17,593	20,120	21,258	22,475	Net debt/Equity	0.4	0.6	0.5	0.4	0.2
						Net debt/EBITDA	1.5	1.9	1.6	1.1	0.6
Short term borrowings	444	545	1,013	1,013	1,013						
Payables	1,012	1,119	1,213	1,332	1,437	Sales/Assets (x)	0.6	0.6	0.6	0.6	0.6
Other short term liabilities	1,120	1,221	1,390	1,390	1,390	Assets/Equity (x)	2.2	2.3	2.4	2.4	2.2
Current liabilities	2,576	2,884	3,617	3,735	3,840	Interest cover (x)	39.8	24.1	18.7	19.6	25.2
Long-term debt	4,643	6,059	6,711	6,711	6,711	Operating leverage	11.9%	109.1%	127.9%	129.9%	128.6%
Other long term liabilities	4,810	6,237	6,936	6,976	7,016	Tax rate	25.9%	25.9%	26.7%	26.0%	26.0%
Total liabilities	8,527	10,259	11,788	11,946	12,091	Sales growth (% y/y)	2.8%	9.6%	16.4%	9.7%	7.9%
Shareholders' equity	7,530	7,294	8,294	9,274	10,346	Operating Profit growth (% y/y)	0.3%	10.5%	20.9%	12.6%	10.2%
Minority interests	18	40	38	38	38	EPS y/y Growth	0.0%	6.3%	20.0%	14.3%	11.7%
Total liabilities & equity	16,075	17,593	20,120	21,258	22,474	Valuation					
BVPS	28.74	27.84	31.65	35.39	39.48		FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	13.3%	(3.2%)	13.7%	11.8%	11.6%	P/E (x)	28.1	26.5	22.1	19.3	17.3
						EV / Adj. EBITA (JPMe)	22.8	21.4	17.7	15.2	13.3
Net debt/(cash)	3,006	4,223	4,430	3,350	2,141	EV / Adj. EBITDA (JPMe)	18.5	17.4	14.5	12.5	11.0
						Dividend Yield	1.6%	1.8%	2.1%	2.4%	2.7%

Source: Company reports and J.P. Morgan estimates.

Note: € in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Legrand (LEGD.PA, LR FP) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage May 18, 2006. All share prices are as of market close on the previous business day.

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Completed 29 Sep 2026 12:24 AM BST

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